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ATTENTION ☞	Mr. John Ribeiro Indian Correspondent ELECTRONIC BUSINESS ASIA BANGALORE	**FROM** ☞	M. L. TANDON Chairman - ESC CMD - Tandon Group
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Reference your Fax of November 17, 1995 given below are my views on :

ELECTRONICS EXPORTS - PERFORMANCE & PROSPECTS

Q.1. What has been the exports of electronic equipment and components from India in 1994-95 ? How does that rate as a percentage of total electronics production in that year ? And what was the growth rate over export revenues in the previous year 1993-94 ?

ANS. Electronic Hardware (electronic equipment and components) consists of the following sub-groups :

- Computer Hardware
- Consumer Electronics
- Electronic Components
- Telecom Equipment
- Instruments / Office equipment / Medical equipment

Export of electronic hardware during 1994-95 amounted to Rs.1507 crore (US$ 486.13 mln). This constituted 9.19% of the total production valued at Rs.16,400 Crore (US$ 5290 mln.) The overall export in 1994-95 shows a growth of 39. 80% over the performance of 1993-94.

Q. 2. What are the key trends in electronic exports that are evident in the first half of 1995-96 via-a-vis the first half of the previous year ? For example, what is your forecast for electronics exports in 1995-96 ? Do you expect additional products to get exported ?

ANS. Export during the first half of 1995-96 amounted to Rs.827 crore (US$ 262.53 mln.) registering a growth of 28.20% over the same period in 1994-95. The forecast for 1995-96 is Rs.1900 crore (US$ 603.17 mln) Export basket is expanding and additional products are likely to be exported during 1995-96 and in subsequent years.

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Q.3. Which are the key products that are exported ? What is the share of each in the total exports ?

ANS. Major products being exported and their share of the total of electronic hardware export are given below : -

SECTOR	**% OF THE TOTAL**
Computer Hardware	42.93
Consumer Electronics	24.29
Electronic Components	21.5
Telecom Equipment	6.7
Instruments & Medical Equipment	4.58
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Q.4. Which are the main countries to which the products are exported ?

ANS. The first five major countries to which electronic products are exported :-

CONSUMER ELECTRONICS
- United Arab Emirates
- United Kingdom
- Germany
- Russia
- Hong Kong

TELECOM EQUIPMENT
- Singapore
- USA
- Ghana
- Bangladesh
- Russia

INSTRUMENTS
- Russia
- France
- USA
- Hong Kong
- UK

COMPONENTS
- USA
- Hong Kong
- UK
- Russia
- Malaysia

COMPUTER HARDWARE
- Singapore
- USA
- Russia
- Malaysia
- UK

Q.5. Are Indian electronics companies specifically investing in new capacity for exports, or is exports still mainly an ephemeral activity for companies, mainly resorted to when there is slack domestic demand ? Could you site some instances ? Do you have a figure on the quantum of new investment in 1994-95 in electronics manufacture of export ? What is your forecast of new investment in 1995-96 ? How much of this is likely to come from local entrepreneurs ? What are the Tandon Group's own investment plans ?

ANS. In response to the liberalised industrial policy of the Government and encouragement given to foreign investment, new capacity both in terms of quantity, range of products and technology is being created. Quite a number of leading manufacturers of

consumer electronics have either set-up wholly owned companies or have established joint-ventures with Indian companies for production of a wide range of consumer electronic products, computer hardware and telecom equipment. There is great interest in production tie-ups and sub-contracting with Indian firms. It is difficult to estimate the amount of investment in electronics.

Q.6. Which are the products where you think Indian electronics exporters have a natural advantage ? Why ?

ANS. India has natural advantage in exports of the following products :

CONSUMER ELECTRONICS
- B&W TV Sets
- Audio/Video cassettes
- Clock, Watches & Clock & Watch Movements

ELECTRONIC COMPONENTS
- Picture Tubes
- Floppy Disk / Diskettes
- Capacitors
- Permanent Magnets

COMPUTER HARDWARE
- Monitors
- Printers
- Headstacks
- SMPS
- Mother-boards
- Computer Parts

TELECOMMUNICATION EQUIPMENT
- Telephone Sets
- EPABX/EPAX and Parts
- Pagers

The reasons why India has advantage in the above products are :-

a) Production base is strong
b) Keeping pace with the technological developments.
c) India has large capacity in production of certain items like B&W TV where most of the developed countries have vacated but overseas demand for the next few years, will be there for Indian TV Manufacturers to exploit.

Q.7. Are Indian exporters taking the contract manufacturing route to exports, or are they also exporting branded products? What is your view of the viability of the second strategy ?

ANS. Indian manufacturers are taking contract manufacturing route to export and have met with considerable success. This is most evident in the field of Computer Hardware and Consumer Electronics like TV Sets. Some of the manufacturers have build up their brand names but they would not mind exporting in CKD/SKD condition for local assembly in any brand name.

Q.8. Do you think Indian electronics exporters need to upgrade their production processes and quality systems ? Which is the most critical and pressing area where this upgradation has to take place ?

ANS. Electronics is an obsolescence prone industry. Changes are taking place very fast. It is absolutely necessary that Indian exporters upgrade their quality, production process and quality systems. They are desirous to upgrade the quality is evident from the fact that more than 300 firms have got ISO 9000 Certificates

Q.9. Has the recent devaluation of the Rupee vis-a-vis the US Dollar boosted export margins ? Is so by how much ? How do export margins now compare with domestic margins for key electronic products and components ?

ANS. The recent devaluation would increase the export margins for the products which have high local content. Higher the local content, better the margin. However, for products which depend on imports, the increase in margin would be insignificant.
The export margins are still very competitive as compared to the local margins.

Q.10. Do you expect the devaluation of the Rupee will boost exports as economic theory would have it ? Do you expect a time lag between the depreciation and the actual pick up in export volumes ? Please elaborate ?

ANS. The recent devaluation will increase cost of import of capital goods and also import of raw materials. Impact on the exports will depend on type of products depending on investments in Capital Goods as well as import of raw materials. There is always time lag between the devaluation and import/export. Ofcourse the time lag in this industry is reducing. The growth rate of 39.85% in terms of US Dollars is indicative of the fact that exports of electronics have increased in terms of volume because of their quality and competitiveness and not solely because of the exchange rate. Exports have become attractive because the manufacturers have realised that in the prevailing liberalisation regime and entry of multi-nationals, future progress lies in exports only.

Q.11. Do you think the more import intensive electronics manufacturers will be hit by the devaluation / Are you expecting electronics companies to show reduced profitability in 1995-96 ?

ANS. Yes, the de-valuation will result in increase in cost of import of raw-materials, components and capital equipment. With growing competition in the international market, profit margin is likely to go down.

Q.12. Is the increased cost of imports, consequent to the depreciation, likely to throw a damper on new investments in electronics manufacture ?

ANS. The increased cost of imports consequent to devaluation is unlikely to affect the new investment because in the prevailing situation in the world market, most of the developed countries are finding it more profitable to have off-shore production and compete in international market. India is an ideal place for off-shore production of components and finished products by overseas investors for meeting the domestic demand as well as export demand.

REGARDS
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